The marginal rate of substitution declines as we move along an indifference curve.

A price ceiling below equilibrium creates shortages in the market.

Consumer surplus is the area below the demand curve and above the market price.

The law of diminishing returns applies when extra units of a variable input are added.

ECON 301 — Microeconomics

Opportunity cost is the value of the next best alternative forgone.

Demand curves shift when income, tastes, or the prices of related goods change.

Monopoly output is lower and price is higher than under perfect competition.

A competitive firm produces at the point where marginal cost equals marginal revenue.

Total cost is the sum of fixed and variable costs at each level of output.

Tax incidence depends on the relative elasticities of supply and demand.

Elasticity measures the responsiveness of quantity demanded to a change in price.

A production function shows the maximum output for each input combination.